



National Electric Power Regulatory Authority

Islamic Republic of Pakistan

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No. NEPRA/R/DG(Trf)/TRF-615/CPPA-G/2024-25/ 11317-20

July 08, 2026

Subject: **Decision of the Authority in the matter of Motion for Leave for Review filed by Central Power Purchasing Agency (Guarantee) Limited (CPPA-G) against Determination of Market Operation Fee for the FY 2024-25**

Dear Sir,

Please find enclosed herewith the subject Decision of the Authority (total 06 Pages) in the matter of Motion for Leave for Review filed by Central Power Purchasing Agency (Guarantee) Limited (CPPA-G) against Determination of Market Operation Fee for the FY 2024-25 in Case No. NEPRA/TRF-615/CPPA-G/2024-25.

2. The Decision is being intimated to the Federal Government for the purpose of notification in the official Gazette pursuant to Section 31(7) of the Regulation of Generation, Transmission and Distribution of Electric Power Act, 1997 within 30 Calendar days from the intimation of this Decision. In the event the Federal Government fails to notify the subject tariff Decision within the time period specified in Section 31(7), then the Authority shall notify the same in the official Gazette pursuant to Section 31(7) of the NEPRA Act.

Enclosure: **As above**


(Wasim Anwar Bhinder)

Secretary,
Ministry of Energy (Power Division),
'A' Block, Pak Secretariat,
Islamabad

Copy to:

1. Secretary, Cabinet Division, Cabinet Secretariat, Islamabad
2. Secretary, Ministry of Finance, 'Q' Block, Pak Secretariat, Islamabad
3. Chief Executive Officer, Central Power Purchasing Agency Guarantee Limited (CPPA-G), Shaheen Plaza, 73-West, Fazl-e-Haq Road, Islamabad

**DECISION OF THE AUTHORITY IN THE MATTER OF MOTION FOR LEAVE FOR REVIEW FILED
BY CENTRAL POWER PURCHASING AGENCY (GUARANTEE) LIMITED (CPPA-G) AGAINST
DETERMINATION OF MARKET OPERATION FEE FOR THE FY 2024-25**

1. Background

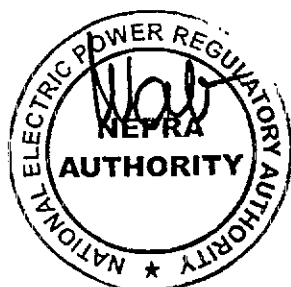
- 1.1. The Central Power Purchasing Agency (Guarantee) Limited (CPPA-G), hereinafter referred to as (the "Petitioner" or "CPPA-G"), filed a petition for the determination of its Market Operator Fee (MOF) for the FY 2024-25, pursuant to Sub-Rule 7 of Rule 3 of the NEPRA Tariff (Standards & Procedure) Rules 1998 ("Tariff Rules") read with the Market Commercial Code, 2025. The Authority decided the Petition vide determination dated 01.08.2025.
- 1.2. CPPA-G, aggrieved by the decision of the Authority, filed a Motion for Leave for Review (MLR), which was subsequently admitted by the Authority. The Petitioner raised issues under the following heads;
- Actualization of Other Income
 - Tax
 - Capex vehicle
 - NEPRA Fee
 - Prior Year Adjustment (PYA)
 - Loan to employees

2. Proceedings

- 2.1. Given that the impact of any such adjustments has to be made part of the consumer end tariff, therefore, the Authority, in order to provide an opportunity of hearing to the Petitioner to present its case and uphold the principles of natural justice, decided to conduct a hearing in the matter. The hearing was scheduled for 30.01.2025, and notice of admission / hearing was sent to CPPA-G. The hearing was attended by the CEO CPPA-G who was accompanied by his technical and financial teams.
- 2.2. Based on the submissions made by the Petitioner in the MLR, during the hearing, and after careful consideration of the available record/ information, a point-by-point discussion is provided in the ensuing paras.

3. Actualization of Other Income

- 3.1. The Petitioner submitted that an amount of Rs.2,249 million was projected as Other Income to be earned during FY 2024-25, based on the then prevailing policy rate expectations. However, during the said FY, the policy rate has reduced substantially. Based on this development, the actual interest income earned during the period amounted to Rs.1,402.1 million which is Rs. 846.9 million lesser than the budgeted/approve figure of Rs.2,249 million. In view of the foregoing, the Petitioner requested that the Authority to reconsider its determination for Other Income and allow the differential amount of Rs.846.9 million less realized for the FY 2024-25. The Petitioner during the hearing based on updated accounts has requested differential amount of Rs.850.55 million instead of claimed amount of Rs.846.9 million in its petition and requested to allow revised amount as part of MLR.
- 3.2. The Authority vide decision dated 01.08.2025, had decided as follows:



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"The Petitioner has requested Rs.2,249 million as other income for FY 2024-25. Since Other Income is to be trued up based on the Audited Financial Statement of FY 2024-25, therefore, the requested amount is being allowed to CPPA-G, subject to adjustment based on Audited Financial Statement of FY 2024-25."

- 3.3. As per the Authority's decision, the true-up of Other Income is to be carried out through the PYA mechanism based on the Audited Financial Statements for FY 2024-25. As per the Financial Statements for FY 2024-25 provided by the Petitioner, the actual other Income for FY is reported as Rs.1,397.98 million against allowed amount of Rs.2,248.53 million. Accordingly, the differential amount of Rs.850.55 million (as claimed by the Petitioner) has been allowed through the PYA mechanism and incorporated into the MOF determination for FY 2025-26. Therefore, the matter stands addressed and no further adjustment is required.

4. Tax

- 4.1. Regarding Tax the Petitioner has requested Rs.95.2 million as less allowed for FY 2024-25 and Rs.305 million for FY 2023-24.

- 4.2. Regarding Tax claim of Rs.95.2 million, for FY 2024-25, the Petitioner stated that it has two sources of revenue:

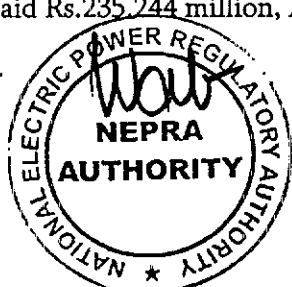
(i) MOF, and

(ii) Profit on Revenue Collection accounts

- 4.3. Both sources of revenue are taxable under the normal tax regime under the Income Tax ordinance 2001 (the ITO, 2001). However, the company is liable for the minimum tax liability during the year 2024-25 due to the normal taxable losses as per the below detail:

Sr	Descriptions	Amount of Taxes Rs. in million	Remarks
Withholding Taxes	Income taxes withheld by the Banks on Bank Profit	224.191	The bank profit is the other source of income of the company. The banking companies deducted withholding taxes at the rate of 15% under section 151 at the time the profits were credited to the bank account of CPPA and taxes paid on the profit on debt is adjustable for companies against tax payable under section 151(3)(a) of ITO, 2001.
	Discos deducted income tax on the payment of Market Operation Fee (MOF)	10.593	The Discos deducted withholding taxes at the rate of 9% section 153(b) of ITO, 2001 and the tax deducted under section 153(b) is the minimum tax.
	Income Tax paid on the motor vehicles	0.105	The advance taxes paid on motor vehicles are adjustable under section 234 of ITO, 2001.
	Paid advance tax on Internet Services	0.355	The advance taxes paid on internet services and official function and gathering are adjustable under section 236 of the ITO, 2001.
	Total Taxes paid /deducted during FY 2024-25	235.244/-	The aggregate Budget required for paid taxes
	Less: Tax liability computation as per the Income Tax Ordinance 2001 For FY 2024-25	(58.433)	The company is required to pay minimum tax at the rate of 9% of the Market Operation Fee i.e. (Rs 649.257) under section 153(b) of ITO, 2001 due to the taxable losses of the company
	Refundable Income Tax from FBR	176.811/-	

- 4.4. The Petitioner submitted that it has paid an amount of Rs.235.244 million on account of Taxes during the FY 2024-25 and requested the Authority to allow the actualization of expenditure related to actual Tax paid during the FY 2024-25 and approve the shortfall amount of Rs.95.2 million. (Actual paid Rs.235.244 million, Allowed Rs.140 million).



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4.5. Regarding Tax claim for FY 2024-25, the petitioner provided following details;

Sl#	Descriptions	Amount of Taxes	Remarks
Withholding Taxes	Income taxes withheld by the Banks on Bank Profit	309,496,762	The bank profit is the other source of income of the company. The banking companies deducted withholding taxes at the rate of 15% under section 151 at the time the profits were credited to the bank account of CPPA and taxes paid on the profit on debt is adjustable for companies against tax payable under section 151(3)(a) of ITO, 2001.
	Discos deducted income tax on the payment of Market Operation Fee (MOF)	11,747,498	The Discos deducted withholding taxes at the rate of 9% section 153(b) of ITO, 2001 and the tax deducted under section 153(b) is the minimum tax.
	Income Tax paid on the motor vehicles	41,230	The advance taxes paid on motor vehicles are adjustable under section 234 of ITO, 2001.
	Advance tax paid on function and gathering	37,774	The advance taxes paid on internet services and official function and gathering are adjustable under section 235 of the ITO, 2001.
	Paid advance tax on Internet Services	390,782	
	Quarterly Advance Tax Paid	39,601,728	The company paid advance income tax in compliance of the section 147 of ITO, 2001 which is adjustable against tax liability
	Total Taxes paid /deducted during FY 2023-24	361,315,794	The aggregate Budget required for paid taxes
	Less: Tax liability As Per the Income Tax Returns For FY 2023-24	(56,259,540)	The company paid minimum tax at the rate of 9% of the Market Operation Fee i.e (Rs 625,106,000) under section 153(b) of ITO, 2001 due to the taxable losses of the company
	Refundable Income Tax from FBR	305,056,254	

4.6. Based on aforementioned information the Petitioner requested that it paid total taxes of Rs.361 million for the tax year 2023-24 against allowed amount of Rs.56 million and submitted that remaining amount of Rs.305 million (Rs.361-Rs.56 million) may also be allowed. In support of its claim the Petitioner also provided income tax returns for tax year 2023-24.

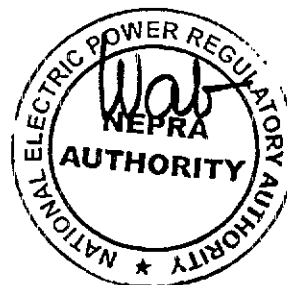
4.7. The Authority vide decision dated 01.08.2025, had decided as follows:

"As per section 153(l)(b) of income tax ordinance, the rate applicable for services related entities e.g. CPPA-G is 9% of gross amount. The proposed gross amount of revenue including the impact of Other Income works out as Rs.1,555 million. By applying 9% tax on gross amount the tax liability for CPAA-G for FY 2024-25 works out as Rs.140 million, which is being allowed to the Petitioner, subject to true up based on verifiable payment documentary evidence."

4.8. The Authority vide decision dated 22.05.2023 decided as follows:

The Petitioner in the MLR has again requested to allow the amount of Rs.82.96 million, by stating that refund from Federal Board of Revenue (FBR) is a prolonged process whereas CPPA-G has to manage its expenses on regular basis. It also mentioned that once the amount is refunded by FBR, the same shall be adjusted accordingly as prior year adjustment.

The Authority noted that while allowing the MoF for the FY 2022-23, it was observed that the amount allowed to the Petitioner for tax till FY 2022 was Rs.371.34 million, whereas, the tax paid amount was Rs.466.4 million, resulting in a difference of about Rs.95 million. As per the information provided by the Petitioner, an amount of Rs.82.96 million was appearing as refund in the audited accounts for the FY 2022. In view of the above, the Petitioner was not allowed the amount of Rs.82.96 million, and was directed the Petitioner to take up the matter with FBR for refund of the amount, rather to claim the same as part of MOF. The Petitioner during hearing of the MLR, agreed to take up this matter with the FBR.



In view thereof, the Authority has decided not to allow any amount on account of Prior Year Tax and again directs the Petitioner to take up the matter with FBR for refund of the amount, rather to claim the same as part of MoF.

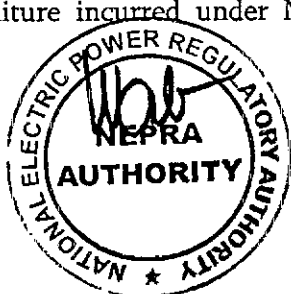
- 4.9. The Authority has already provided a true-up mechanism for tax based on verifiable documentary evidence of actual tax paid on the MOF. As per the Financial Statements for FY 2024-25 provided by the Petitioner, the actual tax expense related to MOF is reported at Rs.31.398 million against Rs.140.040 million allowed by the Authority for FY 2024-25. Accordingly, the excess amount of Rs.108.642 million has been adjusted back through the PYA mechanism and incorporated into the MOF determination for FY 2025-26. Therefore, no further adjustment is allowed in this regard.
- 4.10. It is further noted that the claims of the Petitioner for FY 2023-24 and FY 2024-25, primarily consist of refundable tax amounts recoverable from FBR. Accordingly, consistent with the Authority's earlier decision, the Petitioner is directed to pursue the matter with FBR for the recovery of such amounts.

5. Capex vehicle

- 5.1. The Petitioner submitted that considering the growth and expansion, it has become evident that current fleet of vehicle is insufficient to meet the evolving transportation needs of workforce. Over the period, the organization has experienced significant increase in number of employees across various departments which has resulted in increase in demand of transportation services for meeting and field visits. Based on foregoing, the Petitioner also submitted that existing fleet is unable to adequately support the transportation requirements of these departments and other officials. To address the concern, budget amounting to Rs.19.4 million for the FY 2024-25 for the purchase of staff van, 01 1,000 CC car and 02 motorbikes. The Authority in its determination has consented to 13 vehicles fleet however, allowed only Rs.0.40 million for purchase of 02 moto
- 5.2. r bikes. Since the procurement of 01 staff van and 1000 CC car has been made after the approval of CPPA-G Board and Vehicle Authorization Committee of Cabinet and is already included in the 13 vehicles fleet as consented by the Authority. Accordingly, Authority is requested to approve the differential amount of Rs.19.01 million as expenditure.
- 5.3. Considering the submissions of the Petitioner's submissions and keeping in view the fact that CPPA-G personnel are required to undertake frequent travel for plant inspections, verification, testing activities, and fulfillment of obligations under the Power Purchase Agreements (PPAs), the Authority has decided to allow the claimed amount of Rs.19.01 million for the staff van. The impact of allowed cost has been incorporated through the PYA in the MOF determination for FY 2025-26.

6. NEPRA Fee

- 6.1. The Petitioner submitted that an amount of Rs.21 million was requested from the Authority for NEPRA petition and license fee as per the NEPRA (Fee) Regulations, 2021, as part of MOF for FY 2024-25, however, the Authority allowed only an amount of Rs.11 million in its MOF determination without providing any reason for the allowability of the same. Since all the expense were incurred and paid as per the applicable Authority's regulatory fee structure, it is hereby requested that the allowability of differential amount of Rs.10.8 million be provided. Actual expenditure incurred under NEPRA license fee & petition fee amounts to Rs.21.8



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million during the FY 2024-25. Based on foregoing, Authority is requested to approve shortfall amount of Rs.10.8 million.

- 6.2. NEPRA License Fee is allowed as per actual amount paid by CPPA-G on annual basis. Based on the Financial statements of FY 2024-25 as provided by the Petitioner, it has paid an amount of Rs.21.8 million on account of NEPRA license fee & Petition fee. Based on the above, the differential amount of Rs.10.8 million, as requested by CPPA-G, has been allowed to the Petitioner. The impact of allowed cost has been incorporated through the PYA mechanism in the MOF determination for FY 2025-26.

7. **Prior Year Adjustment (PYA)**

- 7.1. CPPA-G in its MOF petition for FY 2024-25 did not request any PYA owing to the reason that Authority's decision on MLR against the Authority's MOF determination for FY 2023-24 was pending due to which PYA could not be worked out in the petition. In the absence of a final decision, it was not feasible to compute the PYA at the time of petition submission. However, the Authority in its determination for FY 2024-25 has incorporated a negative PYA amounting to Rs.1,029 million.
- 7.2. The Petitioner has submitted that it has filed MLR against NEPRA MOF determination for the FY 2023-24 through letter dated 04.06.2024, the decision of which was still pending on the date of Authority's MOF determination for FY 2024-25. It is requested that the revenue requirements under the MLR are prudent, essential and legitimate being verifiable by documentary evidence, may kindly be allowed as PYA to ensure consistency.
- 7.3. The Authority vide MLR decision dated 11.08.2025, has already decided the MLR being agitated as part of instant MLR and issue stands addressed, therefore, no action is required in this regard.

8. **Loan to employees**

- 8.1. The Petitioner in its MLR agitated that the Authority has worked out a negative amount of Rs. 51.72 million considering actual net recovery of Rs.35 million (total disbursed less recovered) against its determined amount of Rs.16 million (total disbursed less recovered) on account of loan to employees. It is imperative to highlight that the net amount of recovery (total disbursed less recovered) is Rs.10.98 million as per audited financial statements of FY 2023-24. The Petitioner in support of its claim has provided relevant extract of the financial statements for the FY 2023-24. The Petitioner requested to kindly allow the differential amount of Rs.24.7 million instead of negative Rs.51.72 million to accurately reflect the actual position with respect to Loan to Employees during FY 2023-24.
- 8.2. The Audited Accounts for the relevant year have been reviewed and based on the numbers reported, the claim of CPPA-G's is based on merit and request is consistent with mechanism already allowed by the Authority. The impact of allowed cost has been incorporated through the PYA mechanism in the MOF determination for FY 2025-26.
9. Based on the assessments made in the preceding paragraphs, the Authority has decided to allow Rs.901 million against total claim of Rs.1,302 million as follows. The impact of allowed amounts are made part MOF Determination for FY 2025-26 as PYA;

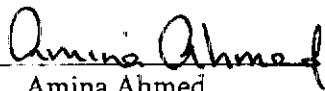


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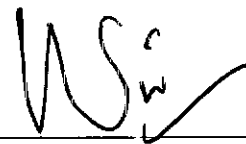
Description	Requested Rs. Mln	Allowed Rs. Mln
Other Income	847	847
Tax FY 2024-25	95	-
Capex vehicle	19	19
NEPRA Fee	11	11
Tax FY 2023-24	305	
Loan to Employee	25	25
Total	1,302	901

10. The decision of the Authority is intimated to the Federal Government for notification in the official gazette under Section 31(7) of the NEPRA Act.

AUTHORITY


Amina Ahmed
Member


Engr. Maqsood Anwar Khan
Member


Waseem Mukhtar
Chairman

